

Potentially Negative Items

Sounds dreadful, doesn't it? The reality is that sometimes there are negatives on your credit report that you cannot do anything about. Those are the buggers that are damaging your credit score. If it happened, it happened, and there it is. The credit report is supposed to be a truthful portrayal of your credit history. Incidents that you would rather forget are there, staring at you. If you paid late, or missed payments, or have a judgment against you, it will be there.

This “negative items” section is what the creditors focus on. They scrutinize it carefully, so you better as well. The information here is the “meat and potatoes”: how often you have made late payments and how late those payments have been. Pay late a lot? Whammy. Balances too high? Double whammy.

Don't get too upset if you have a lot in this category. Often the case turns out that the negative item is there in error, so you can correct it. Sit tight and you will learn how to improve your credit report!

And look at the section of your positive credit information – Accounts in Good Standing. That is your goal!

Scrutinize

Who among us has never made a late payment or racked up a high balance? We all have. Whatever actual information you have could probably be enough to hurt your score, simply because the formula is rigged against you. But there very well could be a mistake on your credit report. You absolutely do not need false information bringing down your credit score. If you notice any error, jump on it right away.

Errors and Disputes

Over a billion credit reports are generated each year, with billions and billions of bits and pieces of information. Humans are reporting the information, and humans are entering the information. That means there is good chance of human error. Mistakes happen. Isn't that what we say when we mess up: I'm only human!